

Module 12

Business Finance

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1

The Group has been suffering from an economic downturn that has affected the sales revenue and profitability of the Group. It is recommended that the COSO ERM framework be used to identify, assess, manage, and monitor risks, including business and financial risks, of the Group. Financial risk is risk of financial or investment losses as a result of change of economic situation, e.g. falling product or asset prices. Financial risk also includes liquidity and credit risks.

Key elements of the COSO ERM framework include corporate governance, culture, structure, and process. Corporate governance and culture set the tone at the top and control the environment of the ERM framework. A risk management structure should be established to provide leadership and oversight management of business and financial risks, such as a risk management committee at the board level, and a risk management function, including risk management expertise and personnel, at the Group and operational levels with clear accountability and responsibilities to monitor and manage risks. In addition, risk management policy and procedures, and risk assessment criteria, reporting, and a monitoring mechanism should also be established to ensure risks that would cause harm to the Group are effectively identified and managed.

At the strategic level, the strategic planning process of the Group must ensure the governance and culture values are embedded in the Group's business objectives. With an effective ERM framework in place, strategic and operational risks can be systematically identified and assessed by analysing the fashionable clothes and accessories business environment using strategic tools. Different risk management strategies or mitigating measures can then be formulated.

At the operational level, the Group should also formulate business objectives and plans that focus on identifying, assessing, and responding to financial risks that can affect the Group's business performance. Impacts of the identified risks should be assessed and prioritized for effective mitigation.

After the ERM framework and system are implemented, the Group should regularly review and evaluate its effectiveness to determine whether any improvement is required, including its structure, policy, procedures, risk identification, and treatment capability, as well as risk management training needs of the Group.

In terms of information, communication, and reporting, the Group shall consider how to share business and financial risk information within the Group using information technology systems. Timely reporting systems and schedules should be established to report business and financial risks and performance management. An ERM reporting system should be used to strengthen the ERM to report and communicate business and financial risks to the management.

Answer 2

There are three types of ethical conflicts related to sales, accounts receivable, and sales commission issues, namely agency costs, conflicts of interest, and information asymmetry.

In term of agency costs, there are legal and ethical agency relationships among the sales director, sales managers and the Group. The sales director has an agency obligation to the Group to ensure sales managers are acting ethically and legally to sell fashionable clothes and accessories to customers based on the Group's internal sales and accounts receivable policies. Sales managers have an agency obligation to the sales director and to the Group to act honestly and legally for the best interest of the Group.

The Group should strengthen internal control mechanisms, such as clear sales and accounts receivable policies, to manage the agency costs properly with the sales director and sales managers to reduce sales and accounts receivable manipulations for their own benefits.

There are conflicts of interest among the sales director, sales managers, and the Group. The sales director wants to increase sales revenue to secure his director position and to earn an annual bonus, so the sales director may place self-interest before the interest of the Group. The sales managers may also want to increase sales revenue by extending credit terms, not performing credit checks on new customers, and even committing sales fraud so that they can earn more sales commissions and put their own interests ahead of the Group.

A segregation of duties between sales and finance must be enforced. The sales department should follow the credit policy and ensure it is consistently enforced for all sales contracts. The sales bonus scheme should consider a penalty for non-compliance of credit policy, bad debts, and unfulfilled orders.

There are information asymmetry issues with sharing customers' background and credit information among the sales director, sales managers, and the Group. Sales managers should have the most updated information about customers' information, but there is no mechanism for sharing the information with the sales director who therefore has no information to assess existing and new customers' information to make sales and credit decisions for the Group.

The Group should set up a sales and accounts receivable information system to record and manage sales revenue, sales commission, and accounts receivable accurately. The system should be able to check customers' credit history and accounts receivable records before selling and paying sales commission to avoid making fake sales to earn sales commissions, disregarding the Group's interest.

Answer 3

To: Board of Directors

From: Finance Director

Date: xx/xx/xxxx

Remark: Analysis of external competitive environments and financial performance for NOVA Online B2B business

Based on Porter's five forces model, the keen competition of the B2B business creates downward pressure on pricing, which affects the sales revenue of NOVA Online B2B business. The competition may be caused by the low barriers of entrance of the B2B business that increase the numbers of competitors in the online fashionable clothes and accessories industry and drives down the profitability. Moreover, there are strong threats of substitutions of fashionable clothes and accessories in a weak economy where consumers tend to save instead of spend, which reduces sales revenue. The bargaining power of customers are strong for trade discounts in a weak economy, which further reduces NOVA Online's profitability. Overall, strong competitive rivalry in the NOVA Online B2B business leads to reduced profitability.

Based on the PEST model, global recession and increase in the unemployment rate reduce the spending of consumers economically, affecting NOVA Online's customers who have been cutting their purchase orders and have even closed down their businesses in a weak economy, which may reduce NOVA Online's sales revenue and profitability significantly.

Politically, the trade protectionism, including trade tariffs and quotas, has adversely impacted free trade globally. The NOVA Online B2B business has been facing trade tariffs and quotas when doing B2B businesses with customers in USA and European countries, which further reduces sales revenue, profitability, and business growth of NOVA Online.

The outbreak of pandemic is an immediate cause leading to the business failure of the NOVA Online B2B business because the virus situation has nearly stopped all economic and trading activities for major overseas customers as all fashionable clothes and accessories cannot be sold to consumers due to government lockdown policies that further reduce the sale revenue and profitability of the NOVA Online B2B business.

Due to unfavourable external competitive environments, the NOVA Online B2B business has the following financial problems that have led to its business losses in 2020.

The net cash flow from operating activities has been reduced from a net inflow of US\$250,000 (\$200k-\$30k+\$100k-\$20k) in 2019 to a net outflow of US\$240,000 (\$10k-\$200k+\$50k-\$100k) in 2020, which shows significant net operating cash flow problems in the NOVA Online B2B business. NOVA Online has tried to reduce the net cash flow used in investing activities by 50% from US\$100,000 to US\$50,000 and increase net cash flow provided by financing activities from US\$20,000 to US\$100,000, but overall the cash balance has reduced from US\$200,000 to US\$10,000 at the end of 2020, which shows the NOVA Online B2B business has a significant cash flow problem.

NOVA Online has negative working capital of US\$400,000 ($\$1\text{m} - \$600\text{k} - (\$2\text{m} \times 40\%)$) in 2020 compared to US\$100,000 ($\$600\text{k} - \$400\text{k} - (\$500\text{k} \times 20\%)$) in 2019 and the current ratio of NOVA Online has reduced from 1.2 ($\$600\text{k} / (\$400\text{k} + (\$500\text{k} \times 20\%))$) in 2019 to 0.71 ($\$1\text{m} / (\$600\text{k} + (\$2\text{m} \times 40\%))$) in 2020, which shows it might have a liquidity problem in paying off its debts. The low cash balance shows that a significant amount of current assets may be in accounts receivable or inventory that may require further investigation to assess the liquidity and quality of these current assets.

The debt to equity ratios of NOVA Online were 310% ($(\$500\text{k} + \$400\text{k}) / (\$600\text{k} + \$590\text{k} - \$400\text{k} - \$500\text{k})$) and negative 255% ($(\$2\text{m} + \$600\text{k}) / (\$1\text{m} + \$580\text{k} - \$600\text{k} - \$2\text{m})$) in 2019 and 2020 respectively. NOVA Online has difficulties paying off the debts and also has capital deficiency problems. NOVA Online may have difficulty repaying the long-term debts and also to obtaining additional financing.

The interest coverage of NOVA Online has reduced from 10.2 ($(\$230\text{k} + \$500\text{k} \times 5\%) / (\$500\text{k} \times 5\%)$) times in 2019 to -1.6 times ($(-\$260\text{k} + \$2\text{m} \times 5\%) / (\$2\text{m} \times 5\%)$) in 2020, which shows that NOVA Online does not have sufficient ability to pay the interests of the long-term debts. The lenders may sue NOVA Online to repay the interest and the long-term debts immediately.

The return on total assets dropped from 16.1% ($(\$230\text{k} \times (1 - 16.5\%)) / (\$600\text{k} + \$590\text{k})$) in 2019 to -16.5% ($(-\$260\text{k} / (\$1\text{m} + \$580\text{k}))$) in 2020, which shows a significant decline of the profitability of the NOVA Online B2B business due to adverse external impacts, and it seems NOVA Online may not be able to turnaround the B2B business in a short time.

Based on the above external and internal factors analysis, the NOVA Online B2B business is moving toward business failure.

Answer 4

Based on the case information, the Group can use a historical book value approach, the capitalisation of earnings method, and the residual income model to value the proposed NOVA Online B2C business.

The historical book value approach considers the net value of assets using historical values of assets and liabilities to assess the cost to reproduce or replace the service capacity of assets being valued. Based on this method, the net asset enterprise value of NOVA Online B2C is calculated as follows:

	US\$
Current assets	1,000,000
Net non-current assets (US\$580,000 - US\$200,000)	380,000
Current liabilities	<u>(600,000)</u>
Net asset enterprise value	<u>780,000</u>

The second method to value the NOVA Online B2C business is the capitalisation of earnings method, which focuses on a company's earnings to estimate the enterprise value.

Based on the information provided, enterprise value is calculated as follows:

		US\$
Estimated EBIT at 20%		156,000
Income tax at 16.5%		<u>(25,740)</u>
Estimated net operating profit after tax		130,260
Rf	5%	
Beta	0.50	
Market premium	5%	
WACC (5% + 0.5 (10% - 5%))	7.5%	
Growth rate	5%	
Earnings multiple (times) (1 / (7.5% - 5%))		40
Adjusted NOPAT x Earnings multiple		5,210,400
Plus redundant net non-current assets during conversion		<u>200,000</u>
Enterprise value		<u>5,410,400</u>

The third method that can be used to calculate the value of NOVA Online is the residual income model, which is to calculate the net income available for distribution to shareholders. The distribution may be in the form of a dividend or is retained by a company to assist with future growth opportunities. The residual income of NOVA Online is calculated as follows:

		US\$
Estimated net operating profit after tax		130,260
Cost of equity = WACC	7.5%	
Book value of equity	780,000	<u>(58,500)</u>
Residual income		<u>71,760</u>

Enterprise value = US\$780,000 + (US\$71,760 / (7.5% - 5%)) = US\$3,650,400

Recommendation

Based on the above calculations, the capitalisation of earnings method is the most favourable method to value the NOVA Online B2C business compared to the other two methods because the enterprise value is the highest.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5(a)

Quarter 1 - 2022

	Hong Kong	Mainland China	Singapore	Korea
Sales receipts in HK\$'000	48,000	55,000	30,780	
Exchange rate		1.1	5.7	
Sales receipts in local currency (in thousand)	48,000	50,000	5,400	
Purchase in HK\$'000				62,985
(26,455 + 21,410 + 15,500) x 99.4%				
Exchange rate				150
Purchase in KRW'000				9,447,722
Advertising and promotion payments in HK\$'000	4,940	5,093	2,776	
Exchange rate		1.1	5.7	
Advertising and promotion payments in local currency (in thousand)	4,940	4,630	487	
Quarter 1 - 2022				
In thousands	HKD	RMB	SGD	KRW
Sales Receipts	48,000	50,000	5,400	
Purchase				(9,447,722)
Advertising and promotion payments	(4,940)	(4,630)	(487)	
Operating expenses	(11,400)			
Net cash receipts/ (payments)	31,660	45,370	4,913	(9,447,722)

Answer 5(b)

Early settlement discount of 0.6% is referring to 30 days (1 month) of working capital.

Annualised percentage is $0.6\% \times 12 \text{ months} = 7.2\%$.

The annualised percentage of 7.2% is higher than the borrowing rate of 5%.

The Company shall not cancel the early settlement discount as the saving rate is higher than the borrowing rate of the Company.

Recommendations to improve working capital:

- (i) Negotiate longer credit terms with their advertising and promotion vendors
- (ii) Provide shorter credit terms to their customers/ retailers
- (iii) Other valid points

Answer 5(c)

The Company shall gain the trust of their investors by demonstrating how well the Company will make investments during the period for the retained cash.

The Company needs to establish criteria against which the success of projects (such as market development or e-commerce) can be measured and whether the return on projects measured through analysis of project cash flows is greater than the return on equity.

The cost of equity is typically a major component of the cost of capital and is heavily influenced by the dividend policy. The Company shall prepare their weighted average cost of capital and explain their capital structure to the investors on why internal sources of funds (i.e. retained earnings) shall be used instead of external financing such as debts, and explain how such decisions would help the Company achieve an optimal capital structure that minimises the cost of capital whilst maximising the value of the Company.

Answer 6(a)

The yield to maturity of the bond to be issued:

$$\begin{aligned} & 7.5\% \times \text{HK\$}100 / \text{HK\$}91.46 \\ & = 8.20\% \end{aligned}$$

Coupon = $8\% \times \text{HK\$}100 / 2 = \text{HK\$}4$ every 6 months

Required yield = $8.2\% / 2 = 4.1\%$ every 6 months

The bond is 3 years, so there are 6 coupon payments.

Bond value:

$$\begin{aligned} & = \text{HK\$}4 \times [(1 - 1 / 1.041^6) / 0.041] + \text{HK\$}100 / 1.041^6 \\ & = \text{HK\$}4 \times [(1 - 1 / 1.2726) / 0.041] + \text{HK\$}100 / 1.2726 \\ & = \text{HK\$}99.48 \end{aligned}$$

Number of bonds to be issued:

$$\begin{aligned} & \text{HK\$}600,000,000 / \text{HK\$}99.48 \\ & = 6,031,363 \text{ (approximately: } 6,031,000 - 6,032,000) \end{aligned}$$

Answer 6(b)

- (i) If the major shareholders are able to provide further financing but they are unwilling that their interests be diluted, Grandstar can finance the acquisition by rights issue, allotting shares to the existing shareholders. As Grandstar is a listed company in Hong Kong, Grandstar can issue new shares to their major shareholders through a share placement. Grandstar can also raise new share capital by rights issue, which is offered to existing shareholders who can accept the offer and pay cash for new shares in proportion to their existing holdings. For those shareholders who do not wish to proceed, they can sell the rights to other shareholders. Regarding the two methods mentioned above, the interests of the major shareholders will not be diluted.
- (ii) If the major shareholders are unable to provide further financing but they accept that their interests in Grandstar be diluted, Grandstar can issue new shares to other investors (i.e. new investors or minority shareholders) who are interested in investing in Grandstar through a share placement. Grandstar can also consider issuing convertible bonds/ notes which allow holders to convert into the equity of Grandstar at a specific date and/ or under a specific condition.

Answer 6(c)

The Codes on Takeovers and Mergers and Share Buy-backs (the "Codes") provides a framework for market participants to self-regulate deal-making activities, and central to the Codes are the ten general principles. The new Companies Ordinance (Cap.622) provides further regulatory governance related to business combinations, specifically Part 13, "Arrangements, Amalgamation, and Compulsory Share Acquisition in Takeover and Share Buy-Back". The Securities and Futures Ordinance (Cap.571) is also relevant as it defines inside information and provides the requirements and guidelines for disclosure of inside information.

Principle 1 of the ten general principles is that all shareholders are to be treated equally. In this case, stock owned by the major shareholder would be given a more favourable offer than other shareholders, which is a violation of this principle.

Principle 2 of the ten general principles is that if control of a company changes, a general offer to all other shareholders is normally required. In this case, Grandstar does not present a general offer to all shareholders at the valuation of HK\$600 million, which is another violation of the Code. Grandstar shall present a general offer at the valuation of HK\$600 million to all shareholders.

Under Principle 10 of the ten general principles, since Grandstar is acquiring a target in the same industry which is a competitor of Grandstar, Grandstar's management who are involved with a takeover of the competitor may be less inclined to fully disclose all aspects of the offer or otherwise fully cooperate with the regulators if the offer contained impermissible benefits. All parties concerned with the acquisition are requested to co-operate with the Executive Director of the Corporate Finance Division of the Securities and Futures Commission, the Takeovers and Mergers Panel and the Takeovers Appeal Committee, and to provide all relevant information.

Answer 7(a)

The Company shall consider setting up a treasury function with the relevant expertise to enhance their capabilities for fund-raising.

Investor relations mainly focus on serving various stakeholders, including investors, shareholders, analysts, and government organisations, and communicating and informing them of the company's activities and performance. Their roles include assisting the company's investors in assessing the value of the company's stock. Investor relations are also responsible for planning and executing events such as annual shareholder meetings, press conferences, or other meetings with individual investors or government officials. So investor relations are more focus on reporting and marketing.

The Company is suggested to set up a treasury function which can play an important role in building relationships and communicating with the investor community. Different from investor relations, the treasury focuses on transactional-related relationships. Treasury experts normally come from banking backgrounds or already have a very good network in

the investment community, especially 'sell side' participants who are brokers and investment bankers, or 'buy side' participants who are institutional investors such as pension funds and asset managers. Treasury experts with this network would be able to provide advice and act as agents for promoting and selling the company's debt and equity offerings, and they are very experienced in structuring deals and offers which will be attractive to investors.

Answer 7(b)

As the Company is a listed company in Hong Kong and the issue is related to the non-compliance of accounting requirements as well as the audit quality, Ashley is firstly recommended to consider lodging a complaint with the Financial Reporting Council ("FRC") for the non-compliance with accounting requirements in the financial statements of the Company.

"The Financial Reporting Council (Amendment) Bill 2018" was enacted in January 2019 and empowers the FRC to inspect, investigate, discipline, and oversee the HKICPA to enhance "audit quality and investor protection in Hong Kong". The mission of the FRC is to "uphold the quality of financial reporting of listed entities in Hong Kong, so as to enhance protection for investors and deepen investor confidence in corporate reporting". The role of the FRC is to oversee auditing and financial reporting practices through inspection, investigation, and disciplinary actions, with the goal to enhance audit quality and investor protection in Hong Kong.

Ashley shall share her findings regarding impairment assessment including the unreasonable assumption used for the impairment assessment with the FRC. When the FRC receives a complaint which identifies potential non-compliance with accounting, auditing, or reporting standards, they will conduct independent investigations into possible auditing and reporting irregularities in the Company. The FRC has an Audit Investigations Board and a Financial Reporting Review Panel to conduct investigations into auditing or reporting irregularities. If the FRC agrees with Ashley that the information provided has potential non-compliance with financial reporting requirements, the FRC would conduct an enquiry into the Company, including the management and the auditor of the Company.

Finally, as the Company is a listed company in Hong Kong, Ashley can also report such non-compliance issue to the Hong Kong Exchanges and Clearing Limited and the Securities and Futures Commission ("SFC").

Hong Kong Exchanges and Clearing Limited is the primary regulator of stock market participants with respect to trading matters and of those companies which are listed on the Exchange.

SFC is the main regulator of the securities and futures markets in Hong Kong. SFC has an enforcement division which is responsible for conducting market surveillance, so improper or illegal activities would be identified for investigation.

Answer 7(c)

The Corporate Governance Code, Appendix 14 of the Main Board Listing Rule applies to companies listed on the Main Board, and HKICPA has issued further guidance based on these rules to assist issuers in understanding and implementing the rules. The Corporate Governance Code sets out the requirements and guidance to ensure sound and effective internal controls are in place.

The Company is expected to implement a governance structure aimed toward providing oversight and accountability for various actions. The structure should start from the board of directors at the top, which provides overall oversight of the Company. The officers of the Company and the committees are dedicated to specific areas of business and risk, such as audit, compliance, risk management, and compensation. These committees should be independent in structure and reporting lines and document their charters and objectives clearly. This structure can provide independency and appropriate segregation of duties between departments and lines of reporting.

An audit committee is considered as the third line of defense and acts as the oversight body for the internal and external audit. The Audit committee is positioned to be independent of management, and the Company can leverage this group of independent members to review governance of the Company objectively without conflicts of interest. The internal audit department shall report to the audit committee, and the audit committee meeting between the external auditor and the audit committee provides a very good direct channel for the auditors to communicate the significant issues they identified during their audit, so any case of financial misstatement would be communicated to the group of independent members as a monitoring function to the management of the Company.

* * * END OF EXAMINATION PAPER * * *